particular good or service whose demand has disappeared are sick or no jobs. Jobs created/maintained to pay wages without production of any goods or services are vacuous jobs. Sick and vacuous jobs are not employment.

Under the mistaken notion that it was protecting jobs and employment, the government adopted and persisted with several policies after Independence to protect sick and vacuous jobs.

The public sector was presented as a model employer. Millions of unskilled, low-skilled and inappropriately skilled people were employed in departmental undertakings and the public sector, at both the Central and state level, without really producing any marketable goods and services. The pay and allowance systems were designed and distorted with no link to value created. Even after a PSU became sick or was closed, payment to workers continued with borrowing or the government providing funds from taxpayers' money to keep up the charade of continuing employment. The public sector bled and eventually became sick. A major reason for the spectacular failure of the dream of handing over 'the commanding heights of the economy' to the public sector was the false sense of creating jobs despite the fact that the people employed did, in many cases, no work, or did work that constituted only a fraction of what they were paid.

The private sector was not spared either. The industrial laws and labour laws that were framed did not allow sick and failed businesses to close. Industry had to continue with the employment of square pegs in round holes. Industrialists were made to pay bonuses even when the company generated losses. There was no freedom to start a business when someone saw an opportunity and there was no freedom to close a business when it was no longer producing goods that had a demand or generated enough value addition to pay for the labour.

These policies of artificially creating and sustaining sick and vacuous jobs cost the country dearly. They discouraged labour from upgrading skills